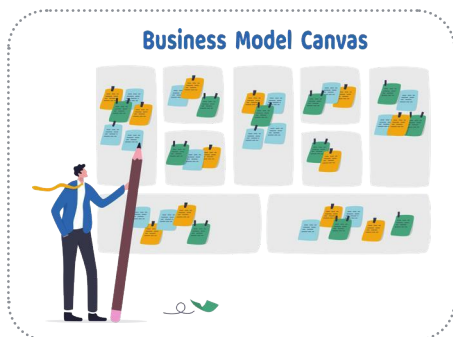


The key elements of the circuit are:



Value Proposition

Value proposition helps understand the product-customer fit and the value created. This can relate to a specific industry, based on what value the industry creates, or a specific firm. Each firm can tweak the value proposition to create a source of differentiation. Each new idea that one wishes to start with should be understood based on the value it would create and the product-customer fit it would generate. Now for startups, this is no easy task to achieve. But understanding the product and customer, helps understand the value proposition.



Business Model Canvas

Business Model

Business model refers to the way money is earned and spent and the manner in which activities are carried out to create value. Business models evolve over time; they are generally a result of a series of small decisions over time, rather than one conscious decision. Some firms can deviate from the basic model and do things differently. Business model can be ads, subscription, pay per use, purchase and so on. This can even be done on the cost side.



Broad Industry Analysis

This stage relates to the industry level only and it helps understand the attractiveness of the industry. This elaborates aspects such as value chain, risks, demand supply scenario, pricing power, competition within the industry and so on.